S&P Capital IQ PRO

Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

Public

Year: Methodology Year: 2023
Question: Government Ownership
Include Modeled Scores : Yes

Government Ownership

Question

Does the company report whether governmental institutions own more than 5% of the total voting rights of the company?

Rationale

As corporate governance systems aim to ensure that a company is managed in the interests of its shareholders, in this question we assess if a government has voting rights of more than 5% and has golden shares in the company. Academic research (e.g. Goldeng et. al., 2008 or Chen et. al., 2017) suggests that companies without government ownership perform better than companies with government ownership.

Performance Summary	
Question Level Company Performance	100
Question Weight	8
Year-on-Year Change	0
Industry Average Score	93
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Key Definitions

Government Ownership: For the definition of government institutions and ownership, we adopt the Organization for Economic Co-operation and Development (OECD) definition (2005): "Enterprises where the state has significant control through full, majority, or significant minority ownership. In this definition, we include state-owned enterprises (SOEs) which are owned by the central or federal government, as well as SOEs owned by regional and local governments."

This definition includes Government pension funds, state asset management funds, development banks (federal and local), and sovereign wealth funds.

Golden Shares for Governments: A type of share that gives its shareholder veto power over changes to the company's charter. A golden share holds special voting rights, giving its holder the ability to block another shareholder from taking more than a ratio of ordinary shares.

Data Requirements

Government ownership requirements:

Holding companies that own stakes higher than 5% in other companies, and in turn are majority owned by a government or governmental institutions should be reported in this question. For example, a holding company (Company A) is 70% government owned. Company A owns 40% of the voting rights in Company B. Company B should report 40% government ownership in this question.

In this question, we expect information on:

- Total percentage of government ownership (sum of % of individual governmental institutions owning more than 5% of voting rights) or disclosure of all individual governmental institutions owning more than 5% of voting rights
- Golden shares for governmental institutions (only if the corresponding option is marked).

Disclosure Requirements

Listed and/or publicly owned companies are required to provide links to public reports or corporate websites.

Non-listed companies are required to provide the following evidence, depending on the type of company:

- **Family-owned companies and Privately owned companies** are required to provide public reports, corporate websites, or internal documents.
- **Cooperatives** are required to provide public reports, corporate websites, or internal documents.
- **State-owned companies** are required to report on their corporate governance in the public domain as their key stakeholder is the general public.

References

- Goldeng, Grünfeld, & Benito (2008), The Performance Differential between Private and State Owned Enterprises: The Roles of Ownership, Management and Market Structure.
- Chen, Ghoul, Guedhami, & Wang (2017), Do state and foreign ownership affect investment efficiency? Evidence from privatizations.

Standards & Frameworks

GRI Disclosure - 2-15, 201-4

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Individual governmental institutions have more than 5% of the voting rights in the company	No ownership
Total percentage of government ownership	Not answered
Details of government ownership	Not answered
Company's golden shares for governmental institutions	Not answered

Questionnaire

Please indicate whether individual governmental institutions own more than 5% of the total voting rights of your company and if yes, whether golden shares exist for them. Government ownership of 5% or less of the voting rights need not be reported. Please also indicate where this information is available. For additional information, please see the information button.

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Listed companies are required to provide links to public reports or corporate websites.

Non-Listed companies may provide internal documents and/or links to public reports or corporate websites.

1. Yes, individual governmental institutions have more than 5% of the voting rights.

   Please provide the total percentage of government ownership (sum of % of individual governmental institutions owning more than 5% of voting rights)

   Not answered

   Please provide details for the government ownership (e.g. calculation, members, organizations etc. if available):

   Not answered

   Golden Shares for Governmental Institutions

   Does your company have golden shares for governmental institutions?

   1. Yes, our company has golden shares for governmental institutions.
   2. No, our company doesn't have any golden shares for governmental institutions.

2. (•) No governmental institutions own more than 5% of the total voting rights. Please provide available evidence of the company share ownership structure.
3. No, we do not report on government ownership information following the disclosure requirements of this question.
4. Not applicable. Please provide explanations in the comment box below.
5. Not Known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.